

ICA - Class I Reading

Authority of an arbitration tribunal rests on an agreement between the parties executed in accordance with law.

There can be two forms of such agreements: one which submits existing disputes to arbitration, the other which covers disputes that may arise in the future. The first is called a *compromis*, the other is called a *clause compromissoire*.

The UNCITRAL Model Law and New York Convention provide the mechanism for compelling arbitration in the existence of a valid arbitration agreement. In this regard, Article II of the New York Convention states that the courts of a contracting state, when seized of a matter in which the parties have made an arbitration agreement, shall refer the parties to arbitration unless the agreement is null and void, inoperative, or incapable of being performed.

These references can also be categorized into two registers:

1. **An independent suit**, where a party may bring an action to clarify the validity of the arbitration agreement or refer the parties to arbitration, having clarified the existence and validity of such agreement and the competence of the tribunal.
2. **An embedded suit**, where parties to the contract file a dispute before the court that may have already been contemplated to be covered by the arbitration agreement, and the respondent therefore prays to refer the matter to an arbitral tribunal in accordance with the said agreement.

The New York Convention mandates that party states must in both cases refer the parties to arbitration unless the three prescribed conditions are met.

The word “arbitrability” has two meanings. In a narrower sense, it refers to whether the mandatory applicable law in a given jurisdiction allows or disallows the arbitration of disputes. Construed broadly, it may also mean disputes or issues concerning the existence, validity, and scope of the arbitration agreement. Issues concerning arbitrability can be determined by both courts and the tribunal. However, the *competence-competence* principle clarifies that arbitrators have the capacity to decide upon their own competence, whereas the conclusion of arbitrators on this issue can be reviewed by courts in recognition or set-aside proceedings

The dilemma is whether in such cases the court must determine this issue, or whether it should be left to the tribunal to adjudicate the same. The question concerning arbitrability is much more a question of whose decision is final. At the stage of reference, the court deals with the question of who decides, and it again faces this dilemma in set-aside proceedings while considering whether the arbitrator’s determination of competence is correct.

At the reference stage, an extremely pro-arbitration legal order might send all of these questions to the arbitrator. At the same time, each party must have the right to have its day in court; a party cannot be presumed to have agreed to arbitrate or be prejudiced by having to go before the arbitral tribunal, put forth its case regarding the lack of competence, possibly lose, and then come before the court under Section 34 within the limited grounds available to challenge the jurisdiction of the arbitrator. That is a long, winding route for an issue that could have been resolved at the reference stage. Therefore, there is a competing value between a pro-arbitration stance—which

allows arbitration tribunals to be constituted and protects agreements from being frustrated—and ensuring that a litigant with a *bona fide* cause is not put through the arbitration system through no fault of their own.

Even a pro-arbitration national legal system will draw back from automatically referring all issues concerning existence, validity, and scope to arbitrators at stage one (the reference stage).

There are two approaches internationally to resolve this dilemma:

- **The US**, the courts categorize prospective challenges on two grounds. If the party disputes the existence of the container or matrix contract and therefore derivatively argues that the arbitration agreement is also invalid, such questions are to be determined by the arbitration tribunal itself. For instance, a claim that the entire transaction is founded on fraudulent misrepresentation shall be determined by the arbitral tribunal on merits. Conversely, where the issue concerns the validity of the arbitration agreement or clause itself, such claims will be decided by the court. This is, at its core, the principle of separability, where the matrix contract and the arbitration clause are treated as two separate contracts, ensuring the arbitration agreement survives the death of the matrix contract. This rule was developed by the Supreme Court in *Prima Paint Corp. v. Flood & Conklin Mfg. Co.*, 388 U.S. 395 (1967).
- **France** has developed the idea of negative *competence-competence*. The positive concept of *competence-competence* requires that the arbitrator have the authority to determine their own jurisdiction and decide the merits of the dispute. The negative principle operates in tandem and posits that in order to give effect to the positive concept, the court must restrict the exercise of its jurisdiction over the question of arbitrability. It is only when the court refuses to entertain such pleas and refers the matter to arbitration that the arbitrator is able to exercise jurisdiction regarding such determinations. Therefore, in France, this leads to two consequences:
 1. Where the tribunal is already seized of the question regarding competence, the court will *prima facie* refuse jurisdiction and require the parties to continue proceedings before the tribunal.
 2. If the tribunal is not yet seized of the question, French courts will retain jurisdiction only in cases where it is shown that the arbitration agreement is manifestly null. These elements are provided for in the French Code of Civil Procedure under Article 1458 (now Article 1448).

Valid Arbitration Agreements

Article II of the New York Convention establishes the principal requirements for an arbitration agreement to be valid. This is also called a formal requirement. At its core, the prescription in Article II requires that an arbitration agreement should be in writing. The Article further defines “in writing” broadly to include telex, faxes, email, or other such communication.

It has been observed and accepted that Article II lays down a minimum requirement for the existence of an arbitration agreement. A contracting state may want to impose stricter conditions; however, in no circumstance can there be an oral or tacit arbitration agreement, since that would violate the express mandate of Article II.

It has also been observed that the validity of the arbitration agreement is fundamentally determined by Article II and not by the provisions of national law, specifically in international commercial arbitration. Although this view has its dissidents—for instance, German courts have taken the view that a signed arbitration agreement may not be strictly necessary, relaxing the requirement found in Article II—there is a constant attempt to dilute the strict writing requirements enshrined in the New York Convention. UNCITRAL itself has, in Article 7 of the Model Law, taken a liberal view of what constitutes an arbitration agreement.

Law Applicable to Arbitration Agreement

According to choice of law rule contained in Article 5, 1A of the New York Convention, the arbitration agreement is governed by the law chosen by the parties, and in the absence of such a choice by the law that of the place of the arbitration

Though we see that there is a common absence of party regulation of the applicable law due to the absence of awareness on the consequences concerning the applicable law that may follow from the nature of the arbitration clause

***Sulamérica Cia Nacional de Seguros S.A. and others v Enesa Engenharia S.A. and others* [2012] EWCA Civ 638**

This concerned a dispute arising out of insurance policies covering the construction of a hydro-electric plant in Jirau, Brazil. Following incidents of unrest and physical damage at the site in March 2011, the insured, Enesa Engenharia S.A. (“Enesa”), sought indemnity under the policies. The insurers, led by Sulamérica Cia Nacional de Seguros S.A. (“Sulamérica”), denied coverage and initiated arbitration proceedings in London to seek a negative declaration of liability. In response, Enesa instituted civil proceedings against the insurers in the domestic courts of Brazil. Sulamérica successfully applied to the English High Court for an interim anti-suit injunction to restrain Enesa from pursuing the Brazilian action. Enesa appealed to the Court of Appeal of England and Wales, contending that the arbitration agreement was unenforceable without its consent under Brazilian law, requiring the Court of Appeal to definitively identify the proper law governing the arbitration agreement.

The core difficulty arose from the presence of three competing contractual provisions within the insurance policies. First, the general conditions provided that the contract was to be governed exclusively by the laws of Brazil. Second, a separate clause conferred exclusive jurisdiction upon the courts of Brazil in respect of any disputes arising out of the policy. Third, the policies contained a multi-tiered dispute resolution clause requiring the parties to submit disputes to mediation, failing which either party was entitled to refer the matter to arbitration under the ARIAS Arbitration Rules, with the seat of arbitration designated as London, England. Enesa argued that the express choice of Brazilian law and the Brazilian exclusive jurisdiction clause demonstrated that Brazilian law governed the arbitration agreement. Under Brazilian law (specifically Article 4 of Brazilian Law No. 9,307/96), an arbitration clause within a standard-form contract can only be invoked by the insured or enforced against the insured with its contemporaneous consent. Conversely, Sulamérica argued that, under the doctrine of separability, the arbitration agreement

was legally distinct from the substantive contract, and the designation of London as the seat indicated that English law governed the validity and effect of the clause.

Delivering the judgment of the Court of Appeal, Moore-Bick LJ (with whom Hallett LJ and Lord Neuberger MR agreed) established that the proper law of an arbitration agreement must be determined through a three-stage inquiry derived from *Dicey, Morris & Collins on the Conflict of Laws*. The court must examine: first, whether there is an express choice of law; second, in the absence of an express choice, whether the parties made an implied choice of law; and third, in the absence of either, with which system of law the arbitration agreement has its closest and most real connection. The Court observed that while commercial parties frequently designate the law governing their substantive contract, they rarely make an express choice to govern the arbitration agreement itself. In the absence of an express designation, the natural starting inference is that the express law chosen to govern the substantive contract was also implicitly intended by the parties to govern the arbitration clause. However, because an arbitration agreement is separable from the substantive contract, this implied choice remains a rebuttable presumption.

Applying this framework, the Court of Appeal held that the parties had made no express choice of law for the arbitration agreement, as the governing law clause applied generally to the substantive policy. Turning to the second stage, the Court concluded that the presumption of an implied choice of Brazilian law was displaced by two crucial considerations. First, the choice of London as the arbitral seat imported an acceptance that the supervisory law of the seat—namely the English Arbitration Act 1996—would govern the conduct, supervision, and procedure of any arbitration. Second, applying Brazilian law would render the clause unenforceable at the insurer's instance without the subsequent consent of the insured. The Court held that rational commercial parties could not have intended to agree to an ostensibly bilateral dispute resolution mechanism—one explicitly permitting *either party* to refer an unresolved dispute to arbitration—only to render it one-sided and unenforceable at the inception. This commercial reality (an application of the validation principle) firmly negated any implied intention to subject the arbitration agreement to Brazilian law.

Having found neither an express nor an effective implied choice of law, the Court proceeded to the third stage of the inquiry to determine the system of law with which the arbitration agreement had its closest and most real connection. The Court of Appeal held that the agreement had its closest and most real connection with the law of England, as England was the agreed seat of arbitration where the arbitral process was anchored and subject to the supervisory jurisdiction of the English courts. The Court also reconciled the exclusive jurisdiction clause in favor of the Brazilian courts by concluding that it was intended to govern non-arbitrable disputes, judicial assistance, or proceedings to enforce an arbitral award. Consequently, the Court held that the arbitration agreement was validly governed by English law, and the Court of Appeal dismissed Enesa's appeal, maintaining the anti-suit injunction.

Observations in Disortho

- In Disortho the Court observed that there is a distinction made between standalone arbitration agreement and an embedded arbitration agreement.

- In a standalone arbitration agreement, the choice of seat becomes highly significant and that would govern the arbitration agreement in the absence of a governing law specified. However, if the arbitration agreement forms part of a matrix contract, then the express choice of *lex contractus* strongly indicates the party's intention.

Dallah Real Estate and Tourism vs. the Ministry of Religious Affairs, Government of Pakistan

Dallah Real Estate and Tourism Holding Company v The Ministry of Religious Affairs, Government of Pakistan [2010] UKSC 46 arose out of a commercial arrangement to provide long-term housing for Pakistani pilgrims undertaking the Hajj pilgrimage to Mecca. In September 1996, Dallah Real Estate and Tourism Holding Company ("Dallah") entered into an agreement containing an arbitration clause with the Awami Hajj Trust (the "Trust"), a statutory entity created by a Presidential Ordinance promulgated by the Government of Pakistan. Following political changes in Pakistan, the Ordinance was allowed to lapse without being re-enacted, causing the Trust to cease to exist as a legal entity. When disputes subsequently arose under the agreement, Dallah initiated arbitration proceedings before the International Chamber of Commerce (ICC) in Paris against the Government of Pakistan itself, even though the Government was neither a named party nor a signatory to the contract. The arbitral tribunal rendered a preliminary award on jurisdiction, followed by a final award on the merits in excess of US\$20 million against the Government, finding that the Government was a "true party" to the arbitration agreement under French international arbitration principles.

Dallah sought to enforce the Paris-seated award in England under Section 101 of the Arbitration Act 1996, which gives domestic effect to the 1958 New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards. The Government of Pakistan resisted enforcement under Section 103(2)(b) of the Act (reflecting Article V(1)(a) of the New York Convention), maintaining that the arbitration agreement was not valid under the law of the country where the award was made—namely, French law—because there was no mutual agreement to arbitrate between Dallah and the Government. The primary issues before the Supreme Court of the United Kingdom were whether an English court at the enforcement stage is entitled to re-examine the arbitral tribunal's jurisdictional findings *de novo*, and whether, applying French law, the Government was bound by the arbitration agreement as a non-signatory.

On the procedural standard of review, the Supreme Court (with leading judgments delivered by Lord Mance and Lord Collins) firmly rejected the proposition that the arbitral tribunal's jurisdictional determination was entitled to deference or binding effect. While the doctrine of competence-competence allows an arbitral tribunal to rule on its own jurisdiction in the first instance, it does not confer exclusive authority upon the tribunal to determine its own mandate conclusively. Lord Mance emphasized that an arbitral tribunal cannot pull itself up by its own bootstraps to create jurisdiction where none exists. Consequently, under Section 103(2)(b) of the 1996 Act, an enforcing court is not confined to a mere supervisory review of the award, but must conduct an independent, full rehearing of the evidence on the merits to ascertain whether the resisting party was indeed bound by the arbitration agreement.

In determining the validity and scope of the arbitration agreement, the Supreme Court applied French law as the law of the seat of arbitration. Under French international arbitration law, an arbitration agreement is separable and autonomous from the underlying contract, deriving its validity directly from transnational rules without the necessity of applying a specific municipal legal regime. However, under the substantive rules applied by French courts to police arbitral jurisdiction, an arbitration agreement can only be extended to a non-signatory if there is an established “common intention” (commune intention) among all the parties—both signatories and non-signatories—to bind that third party. Such intention is typically inferred from the non-signatory’s direct and substantial involvement in the negotiation, performance, or termination of the contract, creating an objective appearance that the non-signatory treated itself as an actual party.

Following an extensive review of the contemporaneous record and witness testimony, the Supreme Court held that Dallah had failed to prove the existence of any common intention to bind the Government. The Court observed that the transaction had been deliberately structured so that Dallah contracted exclusively with the Trust, an independent legal vehicle, precisely to insulate the Government from direct contractual exposure and sovereign liability. Subsequent administrative actions taken by the Ministry of Religious Affairs after the Trust lapsed were consistent with the Government acting in its capacity as a sovereign regulator overseeing pilgrim welfare, rather than assuming contractual liability under the 1996 agreement. Because there was no valid agreement to arbitrate between Dallah and the Government under French law, the Supreme Court unanimously dismissed Dallah’s appeal and refused enforcement of the arbitral award, establishing a definitive precedent that English courts will rigorously interrogate arbitral jurisdiction at the enforcement stage under the New York Convention.

Enka Insaat Ve Sanayi AS (Respondent) v OOO Insurance Company Chubb (Appellant) [2020] UKSC 38

Enka Insaat Ve Sanayi AS v OOO Insurance Company Chubb [2020] UKSC 38 arose from a catastrophic fire in February 2016 at the Berezovskaya power plant in Krasnoyarsk, Russia. The plant owner’s Russian insurer, OOO Insurance Company Chubb (“Chubb”), paid approximately US\$400 million under its policy and, standing as subrogee to the owner’s rights, commenced civil proceedings in tort against Enka Insaat Ve Sanayi AS (“Enka”), a Turkish subcontractor that had executed works on the plant, before the Moscow Arbitrazh Court. In response, Enka commenced proceedings in the Commercial Court of the English High Court seeking an anti-suit injunction to restrain Chubb from pursuing the Russian litigation, asserting that the claim fell squarely within an ICC arbitration agreement seated in London contained in the underlying construction contract. At first instance, Andrew Baker J dismissed Enka’s claim on forum non conveniens grounds, ruling that the Russian court was the more appropriate forum to determine whether the dispute was covered by the arbitration clause. The Court of Appeal reversed this decision, holding that an English court seated as the supervisory seat must not defer on forum non conveniens grounds, and laid down a broad presumption that, in the absence of an express choice, the law of the arbitral seat ordinarily governs the arbitration agreement as an implied choice. Chubb subsequently appealed to the Supreme Court of the United Kingdom.

In determining which system of law governed the arbitration agreement, the Supreme Court (with the majority judgment delivered jointly by Lord Hamblen and Lord Leggatt) first addressed the conflict of laws framework. The Court confirmed that the Rome I Regulation (Regulation (EC) No 593/2008) does not apply because Article 1(2)(e) expressly excludes arbitration agreements from its material scope. Consequently, an English court must resolve the question by applying English common-law conflict of laws rules, construing the contract according to English principles of interpretation as the law of the forum (*lex fori*). Under these common-law principles, the law applicable to an arbitration agreement is determined through a sequential inquiry: first, by identifying any express choice of law; second, by identifying any implied choice of law; and third, in the absence of an express or implied choice, by determining the system of law with which the arbitration agreement has its closest and most real connection.

The Supreme Court fundamentally recalibrated the approach to the second and third stages of this inquiry, correcting the Court of Appeal's emphasis on the seat. The majority held that where commercial parties have chosen a system of law to govern their substantive container contract, that choice will generally extend to the arbitration agreement contained within it, even if the parties have designated a different country as the arbitral seat. This general rule promotes commercial common sense and legal certainty, reflecting the natural expectation that a contract is intended to be governed by a single, coherent body of law. This presumption will only be displaced in exceptional circumstances, such as where applying the law of the substantive contract would render the arbitration agreement invalid or unenforceable under the validation principle, as parties are not presumed to have intended a choice of law that frustrates their agreed dispute resolution mechanism.

However, where the parties have made no choice of law for the substantive contract—either expressly or impliedly—the court cannot infer a choice for the arbitration agreement and must proceed directly to the third stage: determining the legal system with which the arbitration agreement has its closest and most real connection. As a default rule of law, an arbitration agreement is most closely connected with the law of the seat of arbitration, because the seat represents the legal home of the arbitral process and the seat's courts exercise supervisory and supportive jurisdiction over the arbitration. Applying this framework to the facts, the Supreme Court found that the construction contract contained neither an express nor an implied choice of governing law for the main contract. Consequently, the third stage applied: the arbitration agreement was most closely connected to the law of the designated seat, London, and was therefore governed by English law.

Finally, the Supreme Court affirmed the primacy of the arbitral seat in protecting the integrity of the arbitral agreement. Because the arbitration clause was governed by English law, Chubb's commencement of civil proceedings in Russia constituted a clear breach of the negative covenant not to litigate in a municipal court. The majority confirmed that where an English seated arbitration agreement is breached by foreign litigation, the English court, as the court of the supervisory seat, has an inherent jurisdiction and a duty to grant an anti-suit injunction—unless there are strong reasons to the contrary—without deferring to the foreign court on *forum non*

conveniens grounds. The Supreme Court accordingly dismissed Chubb's appeal and upheld the anti-suit injunction.

Of this two observations are essential. The court has identified several additional factors or contrary indica which can be used to defeat the presumption that the governing law of the matrix contract shall be the governing law of the arbitration agreement.

1. A provision in the law of the state which indicates that once an agreement is subject to that law, the arbitration agreement itself must also be governed by the seat law
2. The existence of serious risk that if governed by the same law as the matrix contract, the arbitration agreement would become ineffective

The closest connection test and a presumption in favor of seat shall only apply whether the contract does not stipulate a *lex contractus*.

Disortho S.A.S v. Meril Life Sciences Private Limited BYC v. BCZ

The Singapore High Court observed that the principle of severability does not mean that the arbitration agreement is completely insulated or detached from the main contract. It simply means that the arbitration clause remains valid and enforceable even if the main contract is found to be invalid. Therefore, a choice of law made in the main contract is a strong indicator of the law governing the validity of the arbitration agreement in the absence of contrary indica.

Arif Azim

- Part 1 of the Act 1996 and the provisions thereunder only apply where the arbitration takes place in India. That means the seat is in India or the law governing arbitration agreement are the laws of India
- The moment a seat is determined, it would be akin to an exclusive jurisdiction clause whereby only jurisdictional courts of the seat will have jurisdiction to regulate the arbitral proceedings
- The closest connection test is no longer viable criteria in view of the Sashua principle
- The better criteria for determining seat would be that where the arbitration agreement expressly designates its place of arbitration anchoring the arbitral proceedings without any contrary indica, such place would be the seat of arbitration
- However, it is not to say that the closest connection test has no application whatsoever. Where there is no express or implied designation of place of arbitration, either of venue or of curial law the closest connection test may be more suitable in determining a seat of arbitration.

Disortho Facts

In the facts of Disortho clause 16 stipulated that the agreement shall be governed and construed in accordance with the laws of India. Further, all matters arising from the agreement shall be subject to the jurisdiction of courts in Gujarat. Clause 18 outlines conciliation and arbitration process. The arbitration was to be conducted by the ICC in Bogota the award was to be given as per the Colombian law governing the matter.

Court's Observations

- Clause 16 states that the agreement shall be governed by the laws of India and the exclusive jurisdiction shall fall within the courts of Gujarat. Therefore, under clause 18, Bogota has been designated as a venue for conciliation. While the courts in Gujarat retain exclusive jurisdiction over the dispute
- The law governing arbitration agreement is Indian law and therefore the scope and interpretation shall be determined in accordance with Indian law. Most prominently the exclusive jurisdiction is granted to Indian courts which are the supervisory courts in this context
- The test developed by Sulamerica would indicate that there is no express choice at the first place. Therefore, there are two choices: either the law of the seat or that of the venue shall be determined as the governing law. There is a strong presumption, therefore, that lex contractus governs the arbitration agreement. Since the lex contractus here is Indian law, in the absence of any contract in India, that is to be considered as the law governing the arbitration agreement
- Therefore, Indian law governs the arbitration agreement and the controversy is to be resolved accordingly